

SAMPLE FIRM - CASE RESEARCH TEAM

Ashford Tech v. Reyes

Case Summary Memorandum

PRACTICE AREA

Employment - Non-Compete & Retaliation

MATTER NO.

2026-CV-0388

STATUS

Active - research in progress

Parties

- Plaintiff: Ashford Tech, Inc. ("Ashford"), a mid-size software vendor.
- Defendant/Counter-Claimant: Elena Reyes, former Director of Sales at Ashford.

Procedural Posture

Ashford sued Reyes for breach of a 24-month, 150-mile non-compete after she joined a direct competitor. Reyes answered and filed a retaliation counterclaim. Both claims are in early discovery.

Statement of Facts

Reyes signed a 24-month, 150-mile non-compete when promoted to Director of Sales. Six weeks before resigning, she filed an internal HR complaint alleging she was paid less than a male counterpart in the same role. Ashford filed suit to enforce the non-compete four days after Reyes gave notice that she was joining a competitor. Reyes claims the timing shows the suit is retaliation for her pay complaint rather than genuine trade-secret concern, and that the 24-month, 150-mile scope is broader than needed to protect any legitimate business interest given her role had no access to source code or technical trade secrets.

Legal Issues Presented

1. Whether the non-compete's 24-month, 150-mile scope is reasonable for a sales role with no access to technical trade secrets, or whether it should be narrowed ("blue-penciled") rather than enforced as written.
2. Whether the timing and stated rationale for Ashford's suit support an inference of retaliatory intent under the burden-shifting framework, once Reyes makes her prima facie case.

Relevant Authority

- BDO Seidman v. Hirshberg, 93 N.Y.2d 382 (1999) - non-competes are enforceable only to the extent reasonable and necessary to protect a legitimate business interest; overbroad covenants may be partially enforced rather than voided outright.
- McDonnell Douglas Corp. v. Green, 411 U.S. 792 (1973) - the three-step burden-shifting framework for retaliation claims: prima facie case, legitimate non-retaliatory reason, then pretext.

Current Status

Discovery ongoing on both claims. Research is focused on comparable non-compete scope rulings for sales (non-technical) roles, and on what timing evidence is sufficient to survive summary judgment on pretext.